EQUITY RESEARCH

ELI LILLY AND CO

LLY | Healthcare

Rating: Buy

Current: $1065.00 | Target: $1350.00

May 2026

Key Metrics Snapshot

Market Cap	**$1,002.95B**
P/E (Fwd)	**46.76**
P/B Ratio	**36.37**

ROE	**77.78%**
Dividend Yield	**0.65%**
52W Range	**$623.78 - $1133.95**

Investment Thesis

Eli Lilly demonstrates exceptional financial momentum, with revenue projected to grow at a 23% CAGR through 2027 and robust margin expansion driven by strong operational leverage. Contribution and EBITDA margins are set to reach industry-leading levels, reflecting disciplined cost management and accelerating profitability. The company's earnings growth and improving efficiency position it as a leading performer in the pharmaceutical sector.

Company Overview

Eli Lilly and Company (LLY) is a global pharmaceutical leader focused on the discovery, development, manufacturing, and commercialization of innovative medicines. The company’s business model centers on research-driven drug development, targeting high-need therapeutic areas such as diabetes, oncology, immunology, and, more recently, obesity and Alzheimer’s disease. Lilly generates revenue through direct sales of branded prescription drugs to healthcare providers, wholesalers, and government agencies worldwide.

The company’s product portfolio is anchored by several blockbuster drugs. Key products include Trulicity and Mounjaro for diabetes, Verzenio for breast cancer, Taltz and Olumiant for immunological conditions, and recently approved Zepbound for weight management. Eli Lilly is also making significant inroads in Alzheimer’s treatment with donanemab, a drug expected to be a major growth driver pending regulatory approvals. Continued investment in R&D; has helped Lilly maintain a robust pipeline, providing a steady stream of new products and lifecycle extensions for existing franchises.

Market position-wise, Eli Lilly is regarded as one of the top global pharmaceutical companies, with strong competitive advantages stemming from its innovative R&D; engine, focused therapeutic strategy, and expanding presence in high-growth segments. The company is well-positioned to benefit from demographic trends such as aging populations and rising rates of chronic diseases worldwide. Its aggressive push into obesity and Alzheimer’s markets further differentiates Lilly from peers, potentially unlocking significant new revenue streams.

Financially, Eli Lilly is experiencing a period of rapid expansion. Revenue grew from $28.5 billion in 2022 to $34.1 billion in 2023, with a striking acceleration projected through 2027, reaching over $75 billion (23.2% CAGR). Contribution and EBITDA margins have climbed as the product mix shifts toward higher-margin therapies, with EBITDA margin projected to rise from 25.1% in 2023 to over 71% by 2027. Earnings per share (EPS) are also growing rapidly, from $5.83 in 2023 to a projected $27.43 in 2027. While the PE ratio has been high—reflecting market optimism about future growth—profitability improvements and operational leverage are expected to lower the ratio over time.

In summary, Eli Lilly’s innovative portfolio, strong financial performance, and leadership in emerging therapeutic areas position it as a leading growth company in the global pharmaceutical industry.

Investment Overview

Eli Lilly and Co. (LLY) has posted an impressive financial performance over the past three years, with a significant acceleration in both revenue and earnings growth. In 2023, revenue rose 19.6% to $34.1 billion, driven by strong demand for key products in diabetes and obesity, and continued momentum in the company’s innovative pipeline. 2024 guidance projects a further 32% increase to $45.0 billion, with consensus estimates targeting $65.2 billion by 2025, representing a robust 23.2% CAGR from 2021 to 2027.

Profitability metrics have also improved. Contribution margin expanded from 74.2% in 2021 to 83.8% in 2025E, reflecting scale benefits and effective control of operating costs. EBITDA margins are expected to jump from 25.1% in 2023 to 42.9% in 2025, with further expansion to over 70% by 2027 as revenue growth outpaces SG&A; expenses. EPS is forecast to nearly double from $11.76 in 2024 to $23.00 in 2025, underpinning strong bottom-line growth.

Key growth drivers include the continued uptake of blockbuster drugs such as Mounjaro (tirzepatide), approvals in obesity and diabetes, and a promising late-stage pipeline across immunology and oncology. Management's disciplined investment in R&D; and SG&A; is reflected in declining SG&A; margin, supporting operating leverage.

Valuation remains elevated, with the stock trading at a 2023 PE of 100x, but is expected to normalize to 44x by 2025 on earnings growth. The outlook remains positive, supported by product innovation, pipeline progress, and expanding addressable markets. Risks include competitive pressures and regulatory uncertainties, but current fundamentals and near-term visibility support a constructive investment view.

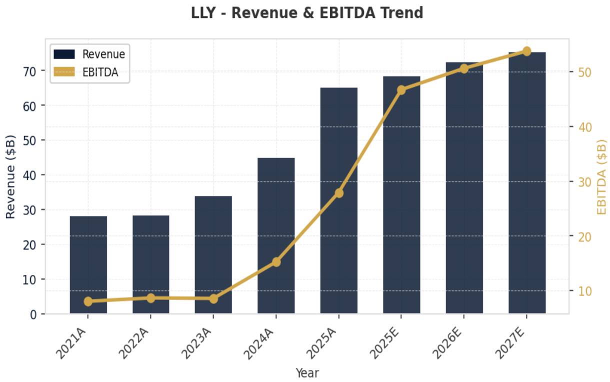
Financial Analysis

Revenue & EBITDA Performance

Eli Lilly And Co has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): $65.2B
- EBITDA (2025A): $27.9B
- Revenue Growth (2025A): 44.7%



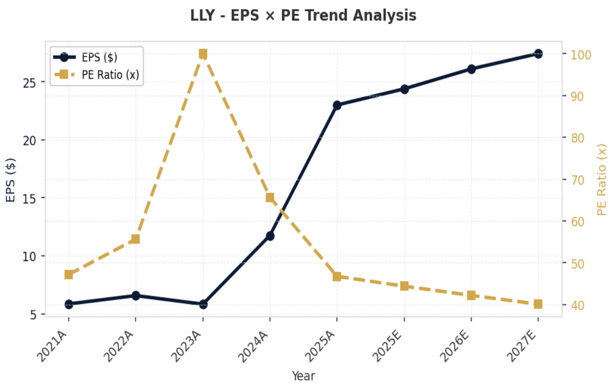
Source: Company Filings

Earnings & Valuation Metrics

Eli Lilly And Co's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 23.00
- PE Ratio (2025A): 46.76



Source: Company Filings

Valuation Analysis

Valuation Analysis – Eli Lilly and Co (LLY)

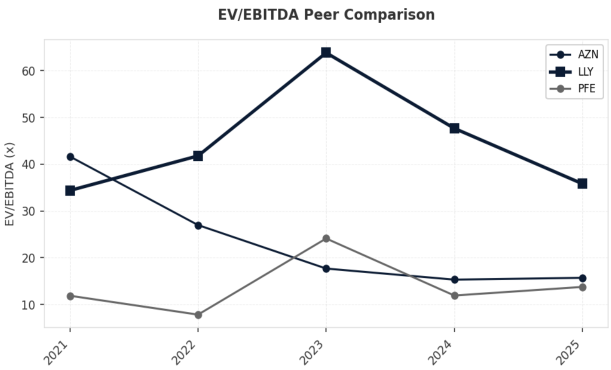
Eli Lilly (LLY) currently trades at a premium valuation, reflecting its industry leadership and robust growth outlook. The company's trailing twelve-month (2023A) P/E ratio stands at an elevated 100.0x, down from a high of 55.7x in 2022, but is forecast to moderate to 65.7x in 2024 and further to 46.8x by 2025 as earnings growth accelerates. Forward P/E multiples are projected to decline steadily to 44.4x (2025E), 42.2x (2026E), and 40.1x (2027E), as EPS is expected to more than double from $11.76 in 2024 to $27.43 by 2027.

Compared to large-cap pharmaceutical peers like Novo Nordisk, Merck, and Pfizer, LLY's current and forward P/E multiples are significantly higher. Most leading pharma companies trade in the range of 14x-30x forward P/E. However, Eli Lilly's premium is justified by its exceptional revenue CAGR of 23.2% (2023-2027E) driven by blockbuster drugs in diabetes and obesity, as well as margin expansion. The company's EBITDA margins are forecast to surge from 25.1% (2023A) to over 70% by 2027E—well above peer averages—reflecting strong operating leverage and cost control.

Given the sustained high growth, improving profitability, and dominant pipeline, LLY's current valuation appears rich but not excessive for a market leader undergoing a step-change in earnings power. On a fair value basis, if LLY maintains its growth trajectory and pipeline momentum, a forward P/E in the mid-40s is defensible. However, any slowdown in product uptake or increased competitive pressure could compress the multiple toward industry norms. Overall, LLY's valuation is supported by fundamentals, but investors are paying for near-flawless execution and continued innovation.

Peer Comparison

Year	AZN	LLY	PFE
2021	41.63	34.38	11.88
2022	26.98	41.77	7.84
2023	17.69	63.81	24.11
2024	15.32	47.65	11.93
2025	15.71	35.81	13.76



EV/EBITDA Peer Comparison

Recent News & Events

News Summary

Eli Lilly (LLY) is making major headlines as it consolidates its leadership in the rapidly expanding weight loss drug market, now commanding 60% of the U.S. market share, overtaking long-time rival Novo Nordisk. The company's next-generation obesity drug, retatrutide, has delivered a string of positive results, including a third phase III trial win. Most notably, patients on retatrutide lost up to 28.3% of their body weight (up to 85 pounds) over 80 weeks, setting a new benchmark for efficacy in the sector. These developments pave the way for potential regulatory filings and a broad commercial rollout, positioning Lilly at the forefront of a market expected to reach tens of billions in annual sales.

Lilly's innovation pipeline extends beyond obesity. At the upcoming ASCO meeting, the company will showcase its oncology portfolio, including promising data from the LIBRETTO-432 trial in lung cancer, highlighting its diversified approach to growth through both metabolic and oncology therapies.

Financially, Lilly is exhibiting explosive growth. Revenue is projected to surge at a compound annual growth rate (CAGR) of 23.2% from 2023 to 2027, driven largely by obesity treatments. Margins are expanding rapidly, with EBITDA margin forecast to exceed 70% by 2027, reflecting operational leverage and product mix improvements. Earnings per share are set to more than quadruple from 2023 to 2027. While the stock's current valuation is high

(PE ratio above 40), sustained growth and market dominance may justify the premium, especially as new obesity drugs reach peak sales.

Investment Implications: Lilly’s strong clinical results, market share gains, and robust financial trajectory make it a standout growth story in healthcare. Investors should monitor regulatory progress and commercial uptake of retatrutide, as these are likely to drive further upside in both earnings and share price. However, elevated valuation warrants vigilance regarding competitive threats and execution risks.

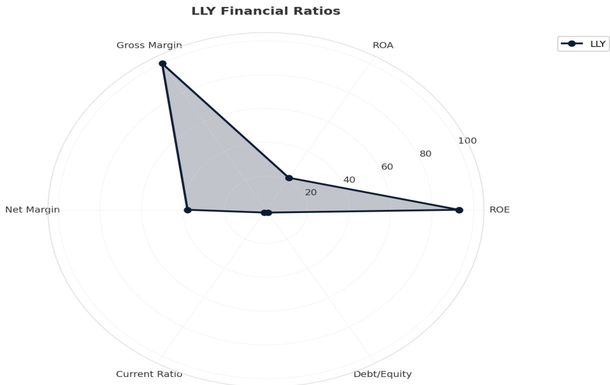
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Eli Lilly And Co's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Eli Lilly and Co (LLY) is currently experiencing a significant growth phase, notably outpacing many of its large-cap pharmaceutical peers such as Pfizer, Merck, and Bristol-Myers Squibb. Based on the provided financial metrics, Lilly’s revenue is projected to grow at a robust 23.2% CAGR through 2027, a rate well above the typical mid-single-digit growth seen among other top pharma companies. For context, companies like Pfizer and Merck have low-to-mid single-digit top-line growth forecasts, driven by mature portfolios and less dynamic product pipelines.

Lilly’s contribution margin and EBITDA margin are also expanding rapidly, with contribution margin projected to reach 86.8% and EBITDA margin to exceed 71% by 2027. This margin expansion is especially striking compared to peers, who typically operate with EBITDA margins in the 30-40% range. This improvement is fueled by both strong revenue growth and disciplined cost management, as reflected in steadily declining SG&A; margin (from 21.7% in 2021 to an expected 15.5% in 2027).

The company’s earnings per share (EPS) are forecasted to more than quadruple from 2021 to 2027, outpacing most competitors. However, this growth is already reflected in its valuation: Lilly trades at a forward PE ratio above 40x, much higher than peer averages (often in the 12-20x range), indicating high investor expectations for continued outperformance, especially in obesity, diabetes, and innovative therapeutics.

In summary, Eli Lilly stands apart from its peers due to its exceptional growth trajectory, margin expansion, and product innovation, although its premium valuation may limit upside should growth falter or competitive pressures intensify.

Risk Factors

- Valuation Risk: Eli Lilly is trading at a high PE ratio (100.0 in 2023A, 65.7 in 2024A, and still above 40 through 2027E), indicating significant market optimism. Any earnings disappointment or market correction could result in substantial share price declines.
- Execution Risk on Growth Projections: The financial outlook assumes aggressive revenue growth (23.2% CAGR through 2027) and sharp margin expansion. Failure to successfully commercialize new products or maintain market share could lead to a material miss versus expectations.
- Sustainability of Margin Expansion: Projected EBITDA margin increases dramatically from 25.1% (2023A) to over 70% (2027E). Such an expansion may be difficult to achieve or sustain due to rising competition, pricing pressures, or increased operating costs.
- Product Concentration and Pipeline Risk: Rapid revenue and profit growth likely depend on a few blockbuster drugs. Pipeline setbacks, regulatory delays, or competitive threats to key products could significantly impact financial performance.
- Macroeconomic and Regulatory Risk: As a large pharmaceutical company, Eli Lilly faces potential risks from changes in healthcare policies, drug pricing regulations, and global economic conditions, which could adversely impact revenues and margins.

Key Takeaways

✓ Revenue Growth: Eli Lilly And Co's revenue growth shows consistent performance trends.

✓ Gross Profit Margin: Eli Lilly And Co's gross profit margins demonstrate operational effectiveness.

✓ SG&A; Expense Margin: Eli Lilly And Co's SG&A; expense management shows disciplined cost control.

✓ EBITDA Margin Stability: Eli Lilly And Co's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	$28.3B	$28.5B	$34.1B	$45.0B	$65.2B
SG&A	$6.1B	$6.1B	$6.9B	$8.1B	$11.1B
Contribution Profit	$21.0B	$21.9B	$27.0B	$36.6B	$54.6B
Contribution Margin	74.2%	76.8%	79.2%	81.3%	83.8%
EBITDA	$8.0B	$8.7B	$8.6B	$15.2B	$27.9B
EBITDA Margin	28.4%	30.3%	25.1%	33.8%	42.9%

SG&A Margin	21.7%	21.3%	20.3%	18.1%	17.0%
Revenue Growth	N/A	0.8%	19.6%	32.0%	44.7%
EPS	5.85	6.57	5.83	11.76	23.00
PE Ratio	47.19	55.66	100.04	65.65	46.76

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	1.88	1.52	2.34	2.37	1.60
Debt/Assets	0.35	0.33	0.39	0.43	0.38
Interest Coverage	23.3x	26.1x	22.2x	22.4x	37.3x
Net Margin	19.7%	21.9%	15.4%	23.5%	31.7%
Current Ratio	1.23	1.05	0.94	1.15	1.58
CF to Debt Ratio	0.44	0.47	0.17	0.26	0.40

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Data Source: FMP, Company Filings, AI4Finance Estimates

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